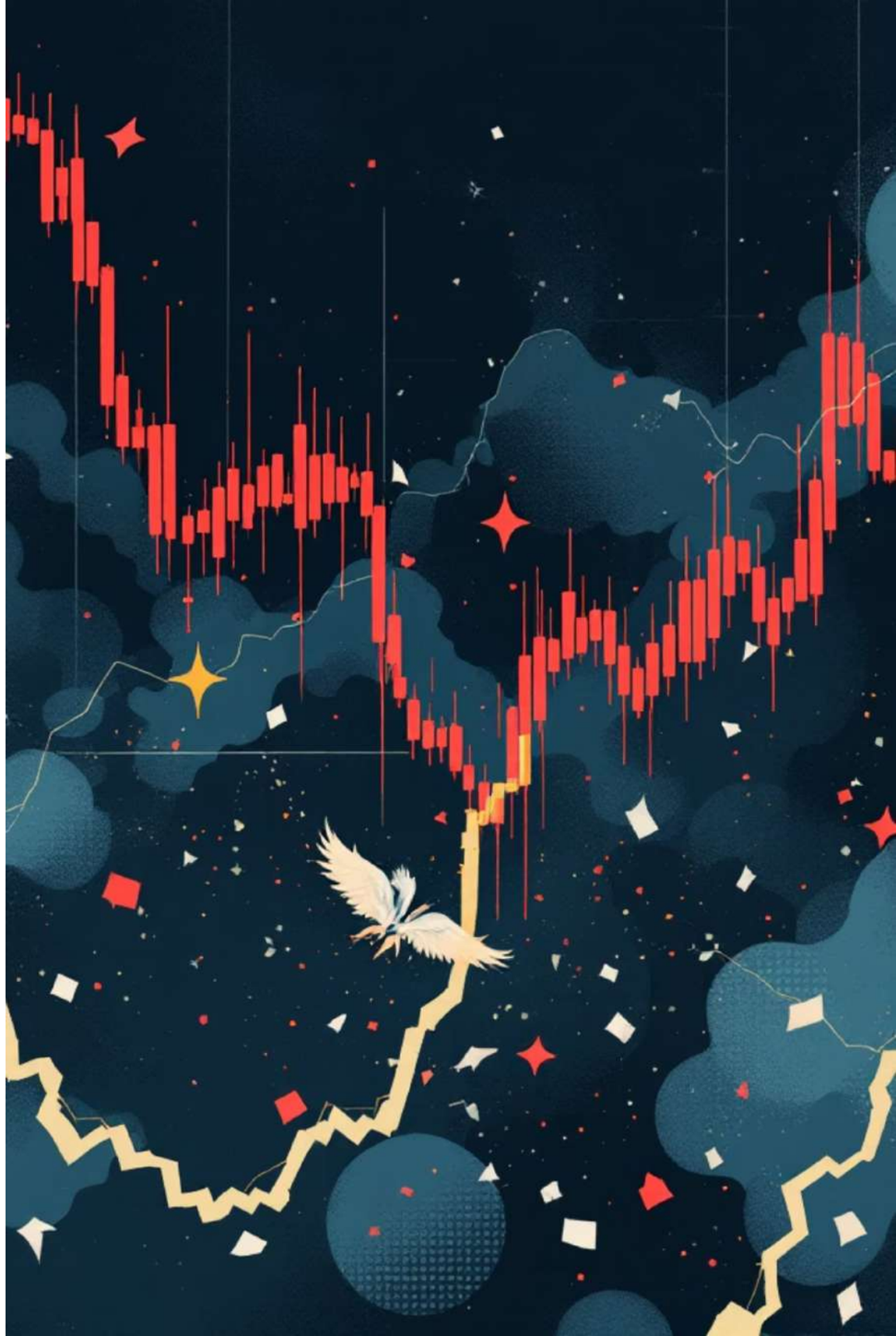
The Russia-Ukraine War: A Corporate Cataclysm

One war... and the global business world was never the same again.

The Domino Effect Begins

When conflict erupted in February 2022, global markets convulsed. The FTSE 100 dropped 3.9% in a single day. The Russian rouble plummeted 30%. Billions in market value vaporized before breakfast.



Supply Chains: The Fractured Lifeline

1

Manufacturing Paralysed

German automotive plants halted production. Semiconductor shortages cascaded worldwide. Ukrainian factories—supplying a significant share of global neon gas for chip manufacturing—went dark.

2

Shipping Routes Rewritten

Black Sea ports closed. Insurance premiums tripled. Container ships rerouted thousands of miles. Delivery times doubled. Costs exploded.

3

Energy Shockwaves

Natural gas prices surged to multi-year highs—several times pre-war levels at peak. Oil markets convulsed. European manufacturers faced impossible choices: pay exorbitant prices or shutter operations entirely.

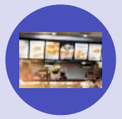
Who Paid the Price?

Energy Giants

Shell, BP, and ExxonMobil faced billions in stranded assets. BP wrote off $25 billion. TotalEnergies froze $3.5 billion in Russian investments.

Tech Titans

Apple halted Russian sales—forgoing an estimated $1.5–2 billion in annual revenue. Samsung and LG followed. Huawei maintained presence, navigating political minefields.



Fast Food Empires

McDonald's exited after 32 years, selling 850 locations at a significant loss—with a buyback option. Yum! Brands shuttered KFC and Pizza Hut outlets across Eastern Europe.

Shipping Magnates

Maersk, MSC, and CMA CGM halted Russian operations. Global logistics networks recalculated routes, adding days and thousands of dollars per container.

The Market Meltdown

Global trade fractured. Exports to Russia fell 55% in six months. Import restrictions choked off critical components. Companies scrambled for alternative suppliers—often paying triple prices.

The Impossible Choice

Profit Calculation

$260 billion in annual revenue at stake. 1,000+ multinationals reduced or suspended Russian operations. Exit meant abandoning infrastructure, contracts, and market share built over decades.

Reputation Risk

Public pressure mounted. Social media campaigns demanded action. Employees protested. Investors reconsidered ESG commitments. Silence became complicity.

The split screen: profits versus principles. Companies choosing to exit markets, sacrificing billions to preserve their moral standing.

The Domino Effect

When one company exits, suppliers follow. When suppliers exit, logistics collapse. When logistics collapse, entire sectors freeze. One domino topples the next.

The New Reality

1

Fortress Europe

Sanctions tightened monthly. SWIFT exclusions. Asset freezes. Secondary sanctions punished third-party enablers. Compliance departments worked round-the-clock.

2

Market Fragmentation

Globalization reversed. Trade blocs hardened. Russia pivoted to China, India, and Middle East. The world split into competing economic spheres.

3

Permanent Risk

Geopolitical risk now priced into every decision. Contingency planning became existential. Boardrooms demanded war-gaming scenarios. Business as usual died.

The Numbers Tell the Story

1000+

Multinationals

Companies that reduced or suspended Russian operations within six months

$300B

Stranded Assets

Estimated value of investments abandoned or frozen

55%

Trade Collapse

Drop in exports to Russia in first half of conflict

~2%

Market Contraction

Actual contraction of Russian GDP in 2022 (IMF estimate)—far less than feared

War Changes Business Forever

The Russia-Ukraine conflict didn't just redraw borders—it shattered the post-Cold War economic order. Globalization's promise died in the trenches of Donbas. Companies learned a brutal lesson: no market is immune to geopolitics. The era of predictable, stable expansion ended. Welcome to permanent uncertainty.